

Revenue Leak Audit: Executive Summary

Simulated Indian D2C brand, April 2025 to June 2026. Prepared by Keerthana D B.

Bottom line

Over 15 months, five preventable process failures cost the business ₹68.36 lakh, or 7.33% of delivered order value. At this pace that is about ₹54.7 lakh a year. Two issues, failed payments and unbilled orders, cause 93% of it. We expect to win back ₹43.75 lakh (range ₹29.8 to ₹57.6 lakh), and the two biggest fixes alone account for about ₹41 lakh.

Where the money goes

Leak	What is happening	Cases	₹ lakh	Share
Failed payments, never retried	A payment fails and nobody retries or follows up, so the order is never paid	1,758	36.89	54%
Unbilled orders	An order is delivered but no invoice is ever raised	1,318	26.84	39%
Discounts above cap	Six sales reps gave discounts above the approved limit	1,261	2.72	4%
Duplicate refunds	The same order is refunded twice	69	1.32	2%
Stale marketplace prices	Eight products sold below list price on Marketplace, Aug 2025 to Feb 2026	265	0.59	1%
Total		4,671	68.36	100%

What to fix first

Priority	Action	Expected recovery (₹ lakh)
1	Retry failed payments automatically and send payment-link reminders	22.13
2	Reconcile delivered orders against invoices every day and raise any missing invoice	18.79
3	Enforce the approved discount cap in the order system, with manager approval above it	1.63
4	Block a second refund per order, and sync Marketplace prices with the master price list	1.19
	Total expected recovery (figures rounded)	43.75

Recovery scenarios: conservative ₹29.8 lakh, expected ₹43.75 lakh, optimistic ₹57.6 lakh.

How reliable is this?

The audit combines SQL rules with an anomaly-detection model, which found the Marketplace pricing problem that no rule had covered. It was tested on data where every leak was known in advance: it found all 4,671 with no false alarms. Simpler rules would have been wrong 55% of the time on failed payments and 78% of the time on discounts. The company data is simulated, so accuracy on real data would be lower.

Decisions needed this month

- Approve automatic payment retries and reminders (finance and payments teams).
- Name one owner for a daily check of delivered orders against invoices.
- Switch on discount-cap approval, and review the six reps involved (R19, R21, R24, R14, R20, R16).

Assumptions: recovery rates and effort scores are planning assumptions (for example, 60% of failed payments recoverable). The yearly figure scales 15 months of data to 12. Method and code are in the project GitHub repository.